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# FM Graded Quiz M4

Question 1

If a homeowner has a \$400,000 mortgage on a house now worth \$350,000, what is the bank's potential loss with a non-recourse loan?

- ☐ \$400,000
- ☐ \$0
- ☐ \$350,000
- ☐ \$50,000



Time left:  
59:56

## QUESTIONS

|   |   |   |   |
|---|---|---|---|
| x | x | x | x |
| x | x | x | x |
| x | x | x | x |
| x | x | x | x |

Question 2

How does the premium of an in-the-money (ITM) option typically compare to that of an out-of-the-money (OTM) option with the same expiration?

- ☐ ITM and OTM options have the same premium

- ☐ The premium depends solely on the underlying stock's volatility
- ☐ ITM options are more expensive due to their greater intrinsic value
- ☐ OTM options are more expensive due to their greater time value



## Question 3

A company wants to hedge against a potential increase in the price of a commodity it needs to purchase in 6 months. Which option strategy would be most appropriate?

- ☐ Buying a put option
- ☐ Selling a put option
- ☐ Selling a call option
- ☐ Buying a call option

## Question 4

You invest \$20,000 in a stock using 3:1 leverage. If the stock price increases by 8%, what is your leveraged return?

- ☐ 8%
- ☐ 24%
- ☐ 32%
- ☐ 16%

## Question 5

If Portfolio A (long call, short put) costs \$8 and Portfolio B (long stock, short bond) costs \$5, and both portfolios have identical payoffs, what is the arbitrage opportunity?

- ☐ Sell Portfolio A, buy Portfolio B, and pay \$3
- ☐ Buy Portfolio A, sell Portfolio B, and collect \$3
- ☐ Buy Portfolio A, sell Portfolio B, and pay \$3
- ☐ Sell Portfolio A, buy Portfolio B, and collect \$3

## Question 6

How does the concept of intrinsic value relate to an option's payoff?

- ☐ Intrinsic value is the difference between the strike price and the premium
- ☐ Intrinsic value is only relevant for put options

- ☐ Intrinsic value represents the option's payoff if exercised immediately
- ☐ Intrinsic value is always equal to the option's premium

Question 7

Which of the following graph shows the payoff for selling a put option?

- ☐ 
- ☐ 
- ☐ 
- ☐ 

Question 8

According to "Non-Recourse, No Down Payment And The Mortgage Meltdown: Lessons From Undercapitalization.", what is the main similarity between non-recourse mortgages and

corporate  
undercapitalization?

- ☐ Both allow parties to externalize risks onto others
- ☐ Both are illegal in most states
- ☐ Both involve high interest rates
- ☐ Both require government approval

Question 9

If a homeowner has a \$250,000 mortgage and sells their house for \$200,000, what is their loss with a non-recourse loan?

- ☐ \$200,000
- ☐ \$250,000
- ☐ \$0
- ☐ \$50,000

Question 10

How might a speculator use options to express

a very bullish view on a stock?

- ☐ Buy call options with a strike price above the current stock price
- ☐ Sell put options with a strike price equal to the current stock price
- ☐ Sell call options with a strike price above the current stock price
- ☐ Buy put options with a strike price below the current stock price

Question 11

How could an investor create a synthetic long stock position using options?

- ☐ Buy a call option and sell a put option with different strike prices
- ☐ Sell both a call option and a put option with the same strike price
- ☐ Buy both a call option and a put option with the same strike price
- ☐ Buy a call option and sell a put option with the same strike price

## Question 12

According to "Call Options as Leverage", an investor bought a call option for ABC stock for \$4 with a strike at \$35. ABC stock is currently trading at \$45. What is the return of this trade?

- ☐ 100%
- ☐ 75%
- ☐ 150%



☐ 200%

## Question 13

An investor buys a call option with a strike price of \$50 and sells a put option with the same strike price. The options expire in 3 months, and the risk-free rate is 5% per annum. What is the present value of the bond that would complete the synthetic stock position?

- ☐ \$50.00
- ☐ \$50.62
- ☐ \$49.38
- ☐ \$51.25

## Question 14

What are the three key elements an option trader must get correct to make money?

- ☐ Premium, volatility, and underlying asset

- ☐ Volume, open interest, and implied volatility
- ☐ Strike price, direction, and number of options to invest
- ☐ Direction, timing and strike

Question 15

If a trader buys a put option with a strike price of \$40 for a premium of \$3, what is the break-even point?

- ☐ \$37
- ☐ \$46
- ☐ \$40
- ☐ \$43

Question 16

How does a non-recourse mortgage resemble an option?

- ☐ It allows the homeowner to walk away if the house value falls below the mortgage
- ☐ It allows the homeowner to refinance at any time
- ☐ It gives the homeowner the right to sell the house at a predetermined price
- ☐ It provides a guaranteed return on investment

SUBMIT